

Image 5.3 – Short EMA Crossover of Long EMA for Long Trade

Above image shows an example of Short EMA & Long EMA crossover for a **Long** trade (the Short EMA should cross the Long EMA from the downside).

Entry – When the price breaks the high of the crossover candle

Stop-loss – 0.5% from the entry price

Exit – Either the price should hit stop-loss or EOD exit.

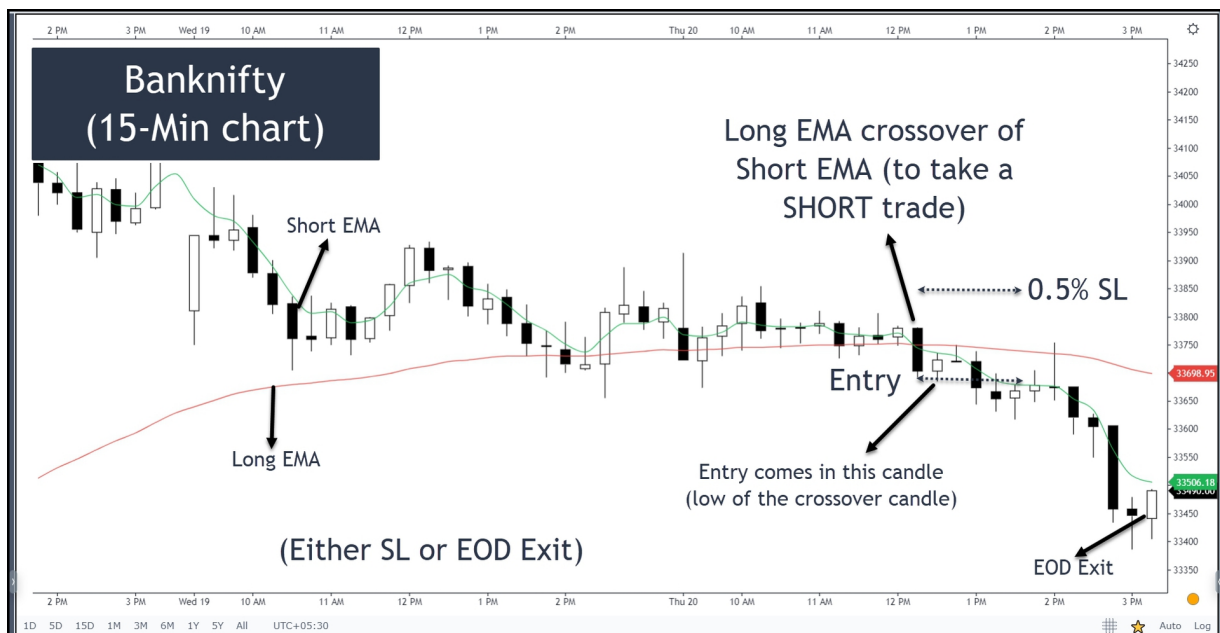


Image 5.4 – Long EMA Crossover of Short EMA for Short Trade

It shows an example for Long EMA & Short EMA crossover for a **Short** trade (the Long EMA should cross the Short EMA from the downside).

Entry – When the price breaks the low of the crossover candle

Stop-loss – 0.5% from the entry price

Exit – Either the price should hit stop-loss or EOD exit.

Back Testing Settings

Initial Capital – Rs.350,000

Trading Instrument – Banknifty Futures

Timeframe – 15 Min chart